should proceed to vouch purchase returns in the following manner:

1. When goods are returned, auditor should verify whether it is properly recorded in the Purchase Returns Book or Returns Outward Register.
2. Auditor should verify the debit note issued by the client to the supplier or the credit note issued by the supplier.
3. He should vouch the quantity returned with the Purchase Returns Book, Gatekeepers Outward Register, storekeepers record and credit notes received from the supplier.
4. The auditor should verify the purchase returns of the first and last month of the year to avoid manipulation of accounts.
5. The auditor should ensure that current year's returns are not accounted in the subsequent year.

Books and Documents to be Vouched: (1) Debit Note, **(2)** Purchase Returns Book or Returns Outward Register, (3) Suppliers Account, (4) Gatekeepers Outward Register.

Example

On 15.1.2017, X Ltd. returned 10 damaged cotton shirts to Goyal Mills, Ahmedabad.

Vouching of Purchase Returns

Auditor should vouch the transaction in the following manner:

1. Verify debit note which is issued to the creditor or supplier for goods returned.
2. Verify entry in Purchase Returns Book with respect to debit note, date of return, name of supplier and amount of return.
3. Verify entry in Creditors or Suppliers Account with regard to date and amount of return.

Debit Note
X Ltd.
224, Jawaharlal Nehru Road,
Chennai.

Debit Note No.22 Date: 15th January, 2017

Particulars	Amount ₹
Goods Returned to Goyal Mills, Ahmedabad as per Delivery Challan No 39 towards damaged goods of 10 cotton shirts, vide Invoice No.210 dated 5/1/2017.	1,500

Signature of Manager

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